THE GARDEN CITY COMPANY

• Established 1905 •

ANNUAL REPORT

December 31, 2019

The Garden City Company

December 31, 2019

DIRECTORS

William J. Hybl (Chair)

R. Thayer Tutt, Jr.	William J. Hybl, Jr.
William R. Ward	David J. Palenchar
Troy J. Dumler	Kyle H. Hybl
Lt Gen Michael C. Gould, USAF (Ret)	

OFFICERS/MANAGEMENT

President and CEO	R. Thayer Tutt, Jr.
Vice President, General Manager	Troy J. Dumler
Vice President	Kyle H. Hybl
Secretary	Matthew Carpenter
Treasurer	Elaine M. Martinez
Assistant Secretary	Jessica Heckel
Assistant Transfer Agent	Connie M. Rickard

OFFICES

P.O. Box 597, Garden City, Kansas 67846

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THE GARDEN CITY COMPANY

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R. THAYER TUTT, JR.
PRESIDENT AND CEO

TO THE STOCKHOLDERS:

The earnings for The Garden City Company for the year ended December 31, 2019 were $80.01 per share. Total income for 2019 was $7,904,505, which included the sale of 426 acres of cropland for $1,375,000. Earnings from operations were $41.19 per share. Income from operations, exclusive of the land sale increased from $2,063,486 to $2,272,428, a 9% improvement. The growth came from improved farm rental income, which made up for drop in oil and gas royalties. Dividends per share for the year were $45.00, including the quarterly payments of $5.00 and a special dividend of $25.00 paid in December 2019.

Farm Rental Income increased from $3,880,677 in 2018 to $4,269,923 (not including the land sale) in 2019 due to improved irrigated yields and additional non-irrigated corn acreage. Overall, corn acreage increased by 9% with a 3% improvement in total production. The additional corn acreage replaced wheat, grain sorghum, and soybeans. Farm rental expenses in 2019 were nearly identical to expenses in 2018. Higher fertilizer and chemical costs were offset by lower irrigation expenses.

Following a decline in natural gas and oil prices, royalties from gas and oil production in 2019 fell by $300,342, a 14% reduction. The average price per barrel of oil decreased from $63.18 in 2018 to $54.16 in 2019. Reversing a trend from previous years, oil production increased by 3% without any new exploration. Conversely, natural gas production decreased by 16% as lower prices reduced incentives to increase production.

With the proceeds of the land sale, the Company retired the remaining portion of the pension loan. By paying off this loan, the Company is well positioned to make investments to improve profitability in the future.

Currently there are many questions looking forward in 2020. The COVID-19 virus is causing widespread economic uncertainty as countries around the world work to mitigate the spread of the virus. Oil prices have dropped substantially as global demand has declined and cheaply priced oil has flooded the market. However, agricultural commodity markets have held relatively steady compared to many other sectors. As noted in previous years, efforts to manage costs will continue in addition to implementing alternative crop and value-added opportunities as a means to improve revenue.

The Garden City Company management team appreciates the efforts of all the employees and tenant farmers for another productive year. Their continued hard work and dedication are a critical component to the success of the Company. In 2020, we look forward to building upon this foundation to increase shareholder value.

Sincerely,

R. Thayer Tutt Jr.

THE GARDEN CITY COMPANY

FINANCIAL STATEMENTS
WITH INDEPENDENT AUDITORS' REPORT

DECEMBER 31, 2019 AND 2018

THE GARDEN CITY COMPANY

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LEWIS, HOOPER & DICK LLC
certified public accountants

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders
The Garden City Company

We have audited the accompanying financial statements of The Garden City Company, which comprise the balance sheets as of December 31, 2019 and 2018, and the related statements of income and retained earnings, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements
Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of The Garden City Company, as of December 31, 2019 and 2018, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Lewis Hooper & Dick LLC

LEWIS, HOOPER & DICK, LLC

March 11, 2020

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THE GARDEN CITY COMPANY
BALANCE SHEETS
December 31, 2019 and 2018

ASSETS

	2019	2018
CURRENT ASSETS		
Cash	$ 651,393	$ 776,041
Short-term investment	1,725,607	2,166,667
Marketable securities	2,138,334	1,501,289
Accounts receivable	118,964	43,592
Income tax receivable	-	31,774
Accrued interest receivable	1,422	-
Inventory, grain	2,814,634	2,786,450
Inventory, supplies	73,346	49,025
Prepaid expenses	13,103	17,510
TOTAL CURRENT ASSETS	7,536,803	7,372,348
PROPERTY AND EQUIPMENT, at cost, less accumulated depreciation and depletion	5,567,065	5,813,123
OTHER ASSETS		
Coop stock and equity credit	153,700	138,542
TOTAL ASSETS	$ 13,257,568	$ 13,324,013

The accompanying Notes to Financial Statements are an integral part of this statement.

LIABILITIES AND STOCKHOLDERS' EQUITY

	2019	2018
CURRENT LIABILITIES		
Accrued liabilities	$ 284,940	$ 334,106
Income tax payable	460,512	180,798
Current portion of accumulated postretirement health benefits	45,985	43,140
Current portion of note payable, related party	-	132,193
TOTAL CURRENT LIABILITIES	791,437	690,237
LONG-TERM LIABILITIES		
Accumulated postretirement health benefits, less current portion	787,725	785,952
Note payable, related party	-	1,426,583
Deferred tax liability	933,000	909,000
TOTAL LONG-TERM LIABILITIES	1,720,725	3,121,535
TOTAL LIABILITIES	2,512,162	3,811,772
STOCKHOLDERS' EQUITY		
Capital stock, no par value; 40,000 shares authorized; 39,178 shares issued; 34,281 shares outstanding	2,783,669	2,783,669
Additional paid in capital	2,594,882	2,562,032
Retained earnings	5,507,741	4,307,426
	10,886,292	9,653,127
Treasury stock at cost; 4,897 shares	(140,886)	(140,886)
TOTAL STOCKHOLDERS' EQUITY	10,745,406	9,512,241
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 13,257,568	$ 13,324,013

THE GARDEN CITY COMPANY

STATEMENTS OF INCOME AND RETAINED EARNINGS

For the Years Ended December 31, 2019 and 2018

	2019	2018
REVENUES		
Farm rental income	$ 5,644,923	$ 3,880,677
Oil and gas royalties	1,800,313	2,100,655
Investment portfolio	459,269	(146,846)
TOTAL REVENUES	7,904,505	5,834,486
COSTS AND EXPENSES		
Farm rental expense	2,648,349	2,629,831
Oil and gas royalties	192,945	185,152
Investment expenses	30,741	34,148
General and administrative and water issues expenses	1,385,042	921,869
TOTAL COSTS AND EXPENSES	4,257,077	3,771,000
INCOME FROM OPERATIONS	3,647,428	2,063,486
OTHER EXPENSE		
Interest expense	(35,956)	(67,807)
INCOME BEFORE INCOME TAXES	3,611,472	1,995,679
INCOME TAX EXPENSE	868,512	384,024
NET INCOME	2,742,960	1,611,655
RETAINED EARNINGS, BEGINNING OF YEAR	4,307,426	4,237,916
DIVIDENDS - $45 per share in 2019 and $45 per share in 2018	(1,542,645)	(1,542,145)
RETAINED EARNINGS, END OF YEAR	$ 5,507,741	$ 4,307,426
BASIC EARNINGS PER SHARE	$ 80.01	$ 47.06
DILUTED EARNINGS PER SHARE	$ 79.73	$ 46.95

The accompanying Notes to Financial Statements are an integral part of this statement.

THE GARDEN CITY COMPANY
STATEMENTS OF CASH FLOWS
For the Years Ended December 31, 2019 and 2018

	2019	2018
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	$ 2,742,960	$ 1,611,655
Adjustments to reconcile net income to net cash provided by operating activities	(1,099,835)	(718,397)
NET CASH PROVIDED BY OPERATING ACTIVITIES	1,643,125	893,258
CASH FLOWS FROM INVESTING ACTIVITIES		
Net change in short-term investments	441,060	(1,011,859)
Purchase of marketable securities	(2,328,898)	(4,039,718)
Proceeds from sales of marketable securities	2,071,135	6,210,061
Purchase of property and equipment	(228,649)	(323,550)
Proceeds from sale of property and equipment	1,379,000	3,000
NET CASH PROVIDED BY INVESTING ACTIVITIES	1,333,648	837,934
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments on note payable	(1,558,776)	(129,224)
Proceeds from exercise of stock options	-	67,380
Dividends paid	(1,542,645)	(1,542,145)
NET CASH USED BY FINANCING ACTIVITIES	(3,101,421)	(1,603,989)
INCREASE (DECREASE) IN CASH	(124,648)	127,203
CASH, BEGINNING OF PERIOD	776,041	648,838
CASH, END OF PERIOD	$ 651,393	$ 776,041

The accompanying Notes to Financial Statements are an integral part of this statement.

(1) Summary of significant accounting policies

Operations

The Garden City Company owns farmland in Southwest Kansas which it rents to tenant farmers on a crop share basis. In addition, the Company receives oil and gas royalties from wells maintained by third parties on their property.

New Accounting Standards Adopted

As of January 1, 2018, the Company adopted Accounting Standards Update 2014-09, *Revenue from Contracts with Customers (Topic 606),* which requires revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The retrospective adoption of the standard had no effect on the current or prior year. As mentioned below crop share revenue is recognized when the crop is harvested and inventoried. Revenue from the sale of crops and receipt of mineral royalties is recognized once an arrangement exists, delivery has occurred, the price is determinable and collectability is assured.

As of January 1, 2018, the Company adopted Accounting Standards Update 2015-17, *Income Taxes (Topic 740): Balance Sheet Classification of Deferred Taxes,* which requires deferred income tax liabilities and assets to be classified as noncurrent amounts on the balance sheet. This standard was adopted prospectively and had no effect on earnings of the company.

As of January 1, 2018, the Company adopted Accounting Standards Update 2016-1, *Financial Instruments Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities,* amending existing guidance eliminating classification of investments in equity securities into different categories and making significant changes in measurement, recognition and disclosures. The standard was adopted retrospectively.

Crop share leases

The farm ground of the Company is leased to tenant farmers on an annual basis. The Company recognizes income (the Company's share of the crops produced) when the crops are harvested and inventoried. Expenses related to these leases are recognized when incurred.

Cash

Cash balances with brokerage firms are not considered cash but are considered to be short-term investments. For purposes of the statements of cash flows, the Company's definition of cash does not include short-term investments and marketable securities with original maturity dates of three months or less.

(1) Summary of significant accounting policies (continued)

Marketable securities

Marketable equity and debt securities are stated at fair value. Marketable equity securities are classified in the balance sheets as current assets while marketable debt securities are classified in the balance sheets according to the maturity date of the security. Changes in the fair value of marketable securities is recorded in the income statement. Fair market values of marketable securities are determined for each individual security in the investment portfolio using quoted prices in active markets for identical assets, (Level 1). Marketable securities are summarized in Note (2).

Inventory

Grain inventory, which represents farm rents received in crop shares not yet sold, is valued at contract price or current local market values. Supplies are carried at cost.

Property and equipment

Property and equipment is stated at cost. Maintenance and repairs are charged to expense as incurred; costs of major additions and betterments are capitalized. When property and equipment is sold or otherwise disposed of, the cost and related accumulated depreciation are eliminated from the accounts and any resulting gain or loss is reflected in income.

Depreciation and depletion

Depreciation is computed over the estimated useful lives of the assets using either the declining-balance or the straight-line method. Useful lives used for calculating depreciation are as follows: buildings and improvements, 6-20 years; irrigation systems, 5-20 years; grain storage facilities, 10-20 years; equipment, 3-10 years. Depletion of minerals is computed using the unit-of-production method.

Income taxes

Deferred income taxes are provided for timing differences in reporting income for financial statement and income tax purposes. The timing differences are mainly due to the use of different methods of accounting for depreciation, the adjustment of marketable securities to fair value, the accrual of postretirement liabilities, and the expensing of stock options.

Earnings per share

Basic earnings per share ("EPS") is calculated using net earnings available to common stockholders divided by the weighted-average number of shares of common stock outstanding during the year. Diluted EPS is similar to basic EPS except that the weighted-average number of shares is increased to include the number of additional common shares that would have been outstanding if the potentially dilutive common shares had been issued. Dilutive common stock options are included in the diluted EPS calculation using the treasury stock method. Amounts used in computing the basic and diluted EPS are listed in Note (11).

(1) Summary of significant accounting policies (continued)

Stock option plan

The Company maintains a non-compensatory stock option plan. During 2018, the plan was amended to extend the plan for 10 years, to be effective beginning March 1, 2019. The purpose of the plan is to attract and retain qualified personnel for positions of substantial responsibility and to provide incentive to officers, directors and key employees of the Company. Under the plan no director, employee or other person shall have the right to be selected as a participant under the plan. The maximum aggregate number of shares that may be optioned or granted under the plan is the greater of: a) 5,100 shares, of which 2,150 shares are the subject of existing options or grants as of the restatement date, or b) a number of shares determined by the board of directors. The exercise price of each option is equal to the market value of the common stock of the Company, determined within thirty days after the beginning of each year. The maximum term of the options is 10 years. The options vest at 20% per year from the time of award. Awards become fully vested after five years.

Share-based payments to employees, including grants of employee stock options, issued after December 2006 are recognized on the income statement based on their fair values. This accounting treatment is also applied to all awards, modifications, repurchases, and cancellations made after December 2006. The valuation of awards made after December 2006 is computed using the intrinsic value method. The Accounting Standards Codification allows this method of valuation when it is impractical to reasonably estimate the volatility of a stock and when no industry stock index exists to estimate volatility. The plan is described further in Note (10).

Defined contribution retirement plan and postretirement health benefits

The Company accounts for its 401(k) defined contribution retirement plan and postretirement health benefits plan according to the Financial Accounting Standards Board (FASB) Accounting Standards Codification, which requires that the funded status of postretirement plans be fully recognized in the balance sheet. The plans are described further in Notes (5) and (6).

Use of estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(2) Marketable securities

Marketable securities classified as current assets include the following:

	2019		2018	
	Fair Value	Cost	Fair Value	Cost
U.S. Treasury securities	$ 398,948	$ 397,436	$ -	$ -
Equity securities	1,739,386	142,194	1,501,289	155,379
Totals	$ 2,138,334	$ 539,630	$ 1,501,289	$ 155,379

The contractual maturities of debt securities available for sale are all within one year of the balance sheet dates.

Sales proceeds and the change in unrealized holding gains on securities are:

	2019	2018
Sale proceeds	$ 2,071,135	$ 6,210,061
Change in unrealized holding gains included in earnings	$ 380,356	$ (254,060)

(3) Property and equipment

Property and equipment consists of the following:

	2019	2018
Cost		
Land and water rights	$ 2,930,993	$ 2,944,586
Buildings and improvements	937,325	943,596
Irrigation systems	9,038,591	9,109,063
Grain storage facilities	1,282,225	1,282,225
Equipment	702,024	693,176
Total cost	14,891,158	14,972,646
Less: accumulated depreciation and depletion	(9,324,093)	(9,159,523)
Net property and equipment	$ 5,567,065	$ 5,813,123
Depreciation and depletion expense	$ 430,647	$ 437,914

(4) Income taxes

The income tax provision differs from the expense that would result from applying federal and state statutory rates to income before income taxes because certain expenses are deductible for income tax purposes that are not deductible for financial statement purposes.

The components of income tax expense are:

	2019	2018
Current	$ 844,512	$ 930,024
Deferred tax (benefit) expense	24,000	(556,000)
Deferred tax expense from carryforwards	-	10,000
Income tax expense	$ 868,512	$ 384,024

Total deferred tax assets and liabilities are as follows:

	2019	2018
Deferred tax asset	$ 281,000	$ 283,000
Deferred tax liability	$ 1,214,000	$ 1,192,000

(5) Defined contribution retirement plan

During 2013 the Company adopted a 401(k) defined contribution retirement plan. The plan covers employees who meet minimum age and service requirements and elect to participate. Company contributions to the plan for 2019 and 2018 total $82,143 and $80,017, respectively.

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(6) Postretirement health benefits

The Company provides health insurance benefits to retired employees. In accordance with the FASB Accounting Standards Codification, such costs are to be accounted for on the accrual basis. At December 31, 2019, and 2018, the accumulated postretirement benefit obligation is estimated to be $833,710 and $829,092, respectively. There are no plan assets. Benefit payments are funded from operations. Employer contributions and benefits paid during 2019 and 2018, totaled $45,985 and $43,139, respectively.

Changes in the plan

During 2019 and 2018, there were no combinations, divestitures, curtailments, or settlements.

Recognition of gains and losses

The FASB Accounting Standards Codification requires, at a minimum, amortization of gains and losses in excess of 10% of the Accumulated Postretirement Benefit Obligation (APBO) over the average remaining service period of active participants. The Standards allow for any systematic method of amortization of gains and losses that results in recognition that is at least as great as the minimum. The employer has established a policy of recognizing all unrecognized gains or losses immediately. This policy accelerates the recognition of gains or losses beyond the minimum required.

The following schedules set forth the plan's funded status and amounts as of December 31, 2019 and 2018:

	2019	2018
Change in benefit obligation		
Benefit obligation at beginning of year	$ 829,092	$ 901,760
Service cost	9,456	9,293
Interest cost	33,440	31,536
Estimated benefits paid	(43,139)	(47,021)
Actuarial (gain) loss	4,861	(66,476)
Benefit obligation at end of year	833,710	829,092
Change in plan assets		
Fair value of plan assets at beginning of year	-	-
Estimated employer contributions	45,985	43,139
Estimated benefits paid	(45,985)	(43,139)
Fair value of assets at end of year	-	-
Funded status	$ (833,710)	$ (829,092)

(6) Postretirement health benefits (continued)

	2019	2018
Balance sheet classifications of amount recognized:		
Current liability	$ 45,985	$ 43,140
Noncurrent liability	787,725	785,952

Net periodic benefit costs include the following components:

	2019	2018
Service cost	$ 15,785	$ 9,456
Interest cost	25,381	33,440
Amortization of losses	1,027	1,138
Recognized net actuarial loss	103,156	99,433
Net periodic benefit cost	$ 145,349	$ 143,467

As of December 31, 2019, all of the prior service costs have been recognized, through amortization, as a component of postretirement health expense in previous years.

The Company expects to contribute approximately $45,985 to the plan in 2020. Benefits expected to be paid by the plan during the next 10 fiscal years are as follows:

2020	$ 45,985
2021	44,032
2022	42,045
2023	50,395
2024	48,606
2025-2029	212,834
Total	$ 443,897

The weighted-average discount rate used to determine the benefit obligation and net benefit cost is 3.13%. A 3.00% annual rate of increase in the cost of health care benefits for current retirees is assumed for all years.

A one percentage-point change in these assumed health care costs trend rates would have the following effects:

	One Percentage Point	
	Increase	Decrease
Effect on total of service cost and interest cost	$ (2,183)	$ 3,252
Effect on postretirement benefit obligation	(24,640)	25,474

(7) Note payable, related party

As of December 31, 2018, the Company had an uncollateralized note payable to a stockholder. The note accrued interest at an annual rate of 4.35% and was payable in ten annual principal and interest payments of $200,000. Payments were due beginning January 2018 and a final payment of $145,650 was due on or before January 1, 2028. Interest accrues on the outstanding balance at the end of each day on which any amount is outstanding under the note. Interest is calculated on a daily basis, and is based on the outstanding principal balance at the end of each day. The Company paid the note in full during 2019.

(8) Statement of cash flows

Adjustments to reconcile net income to net cash provided by operating activities consist of the following:

	2019	2018
Depreciation and depletion	$ 430,647	$ 437,914
Provision for deferred taxes	24,000	(546,000)
Premiums and discounts	(18,537)	(11,709)
(Gain) loss on sale of marketable securities	(380,466)	254,060
Contribution of marketable securities	19,721	10,020
(Gain) loss on disposal of property and equipment	(1,334,940)	5,438
Pension and retirement costs	4,618	(72,668)
Compensation gain from stock options	32,850	61,228
Noncash patronage income	(15,158)	(1,446)
(Increase) decrease in:		
Accounts receivable	(75,372)	85,399
Accrued interest	(1,422)	585
Refundable income taxes	31,774	60,266
Inventories	(52,505)	(1,209,864)
Prepaid expenses	4,407	(880)
Increase (decrease) in:		
Accrued liabilities	(49,166)	28,462
Income tax payable	279,714	180,798
Totals	$ (1,099,835)	$ (718,397)

(8) Statement of cash flows (continued)

During 2019 and 2018 the Company donated marketable securities to a charitable organization. A summary of the transactions follows:

	2019	2018
Fair value of securities donated	$ 19,721	$ 10,020
Cost of securities donated	(2,020)	(173)
Gain recognized	$ 17,701	$ 9,847
Related noncash contribution expense	$ 19,721	$ 10,020

Supplemental disclosures of cash flow information:

	2019	2018
Cash paid during the year for:		
Income taxes	$ 564,798	$ 688,960
Interest	$ 103,763	$ 70,776

(9) Changes in stockholders' equity

During 2019 stock options issued after December 2006 resulted in an increase to additional paid in capital and compensation expense in the amount of $32,850. The estate of one director exercised its option for 225 shares of stock under the cashless exercise option. This resulted in no additional shares being issued and additional cash compensation of $16,725 being recorded.

During 2018 two employees exercised their purchase options for 70 shares of stock under the stock option plan discussed in Notes (1) and (10). The exercise of these options resulted in the Company issuing 70 shares of treasury stock. Because the aggregate purchase price of these shares exceeded the aggregate cost of the treasury shares issued, an increase in additional paid in capital of $63,180 and a reduction in treasury stock of $4,200 were recorded. In addition, stock options issued after December 2006 resulted in an increase to additional paid in capital and compensation expense in the amount of $61,228. One director exercised his option for 75 shares of stock under the cashless exercise option. This resulted in no additional shares being issued and additional cash compensation of $32,175 being recorded.

(10) Stock option plan

Stock option plan activity during the years ended December 31, 2019 and 2018, is as follows:

	2019		2018	
	Number of Shares	Weighted Average Exercise Price	Number of Shares	Weighted Average Exercise Price
Outstanding, Beginning of Year	1,385	$ 1,079.93	1,530	$ 1,056.62
Granted	-	$ -	-	$ -
Exercised	(225)	$ 1,068.67	(145)	$ 834.00
Forfeited	-	$ -	-	$ -
Outstanding, End of Year	1,160	$ 1,082.11	1,385	$ 1,079.93
Options vested and exercisable at end of year	1,140	$ 1,078.57	1,355	$ 1,075.41

The weighted average contract term of fully vested share options at December 31, 2019 is approximately two years.

	2019	2018
Total intrinsic value of options exercised for shares	$ -	$ 10,450
Total intrinsic value of options exercised as cashless	$ 16,725	$ 32,175
Tax benefit realized from exercise of options	$ -	$ 3,000
Cash received from the exercise of options	$ -	$ 67,380

(10) Stock option plan (continued)
Following is a summary of nonvested shares as of December 31, 2019 and 2018, and changes during the years:

	2019		2018	
	Number of Shares	Weighted Average Fair Value	Number of Shares	Weighted Average Fair Value
Outstanding, Beginning of Year	30	$ (141.00)	40	$ (250.00)
Granted during the year	-	$ -	-	$ -
Vested during the year	(10)	$ (75.00)	(10)	$ (141.00)
Forfeited during the year	-	$ -	-	$ -
Outstanding, End of Year	20	$ (75.00)	30	$ (141.00)
Fair value of shares vested during the year	$ 12,090		$ 11,430	

For stock options granted after December 2006, as discussed in Note (1), the Company recognized a $32,850 and $61,228 increase to compensation expense during the years ended December 31, 2019 and 2018, respectively. As of December 31, 2019, unrecognized compensation expense related to the options granted after December 2006 totaled $826. As of December 31, 2018, unrecognized compensation income related to the options granted after December 2006 totaled $2,905. At December 31, 2019, the unrecognized compensation remains to be recognized over a weighted average period of approximately one year.

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(11) Earnings per share

The following data shows the amounts used in computing earnings per share and the effect on income and the weighted-average number of shares of dilutive potential stock.

	2019	2018
Income available to stockholders used in basic EPS	$ 2,742,960	$ 1,611,655
Weighted average number of stock shares used in basic EPS	34,281	34,248
Effect of dilutive stock options	122	76
Weighted average number of stock shares and dilutive potential stock used in diluted EPS	34,403	34,324

(12) Concentration of credit risk arising from cash deposits in excess of insured limits

Cash balances are maintained with financial institutions and securities dealers located in Kansas and Colorado. Accounts are insured up to $250,000 by either the Federal Deposit Insurance Corporation or the Securities Investor Protection Corporation. At December 31, 2019 and 2018, uninsured cash balances total $230,867 and $361,136, respectively.

(13) Subsequent events

Management has evaluated the Company for subsequent events through March 11, 2020, the date at which the financial statements were available to be issued. The Company has not been evaluated for any events after this date.